

# TIMELINE OF 1970S ENERGY CRISIS

## EARLY 1970S CRISIS

### 1970: Rising Oil Dependency

US economy recovering, but rising inflation and increased reliance on Middle Eastern oil sparked energy concerns.

 **RISING OIL IMPORT**

### 1971: Dollar Decoupling & OPEC Influence

The US dollar decoupled from gold, leading to global inflation. OPEC raised oil prices, highlighting energy vulnerability.

 **RISING INFLATION AND OIL PRICE** →  **PRESSURE DOMESTIC CONSUMPTION AND ENERGY POLICY**

### 1973: Yom Kippur War & Oil Embargo

OAPEC imposed an oil embargo on the US for supporting Israel, causing fuel shortages, inflation, and economic slowdown (stagflation).

 **HIGH PRODUCTION COST** →  **DECREASE PROFIT** →  **SLOW ECONOMIC GROWTH INCREASE UNEMPLOYMENT**

### 1974: Post-Embargo Inflation

Oil embargo ended, but prices stayed high. Inflation hit 11%, unemployment reached 5.6%. Focus shifted to energy conservation.

   **INCREASING OILPRICE, INFLATION, UNEMPLOYMENT** →  **US GOVERNMENT FOCUSING LONG-TERM ENERGY CONSERVATION**

### 1975: Energy Security Focus

Despite the embargo's end, oil prices remained high. Public interest grew in energy saving and investments in renewables.

## LATE 1970S CRISIS

### 1979: Iranian Revolution & Oil Shortages

Iranian oil exports halted, causing a global oil shortage. Oil prices doubled, sparking inflation and economic challenges.

 **OIL SHORTAGE** →  **USA FACED SEVERE PRESSURE**

### 1980: Iran-Iraq War & Economic Woes

The war further disrupted oil supply. Oil prices soared, inflation rose to 13.5%, and unemployment hit 7.8%.

 **OIL PRICE SOARED** →   **SEVERE INFLATION & UNEMPLOYMENT** →  **IMPACT GLOBAL MARKET**

### 1981: High Interest Rates to Curb Inflation

US raised interest rates to 20% to control inflation, ending the energy crisis but slowing economic growth.

 **US FED CONTROL INFLATION** →  **INCREASE INTEREST RATE** →   **HIGHER UNEMPLOYMENT SLOW ECONOMIC GROWTH**

### 2008: The Oil Shock and Recession

Oil prices surged from \$118 to \$165 per barrel, exacerbating the global financial crisis and recession. By early 2009, prices dropped below \$50, but slowly recovered to \$95 by year-end.

 **OIL PRICE SURGED** →  **GLOBAL AND US FINANCIAL CRISIS** →    **COLLAPSE FINANCIAL INSTITUTIONS, CONSUMER SPENDING AND INVESTMENT**

### 2010: U.S. Shale Revolution

Increased domestic oil production drove prices down from \$87 to \$51 by early 2020, reducing U.S. dependence on foreign oil.

 **INCREASE DOMESTIC OIL PRODUCTION** →  **US REDUCE DEPENDENCE ON FOREIGN OIL** →  **OIL PRICE DROPPED**

POST-1970S CRISIS